EXECUTIVE SUMMARY

1. Introduction

The Municipality of Alcala was established as a regular municipality by virtue of Royal Decree dated July 20, 1787 by then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

We conducted financial, compliance and value-for-money audit on the accounts and operations of the Municipality of Alcala covering the period from January 1 to December 31, 2014. The audit consisted of review of local operating procedures, processes and practices being done by the agency, inspection of the Municipality's programs and projects/activities, interview with concerned officials/employees, verification, reconciliation and analysis of financial accounts and other audit procedures and techniques considered necessary under the circumstances.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

Particulars	2015	2014	Increase(Decrease)
Financial Condition			
Total Assets	₱192,191,060.41	₱ 150,473,400.59	₱ 41,717,659.82
Total Liabilities	44,827,639.01	53,386,237.07	(8,558,598.06)
Total Government Equity	₱147,363,421.40	₱ 97,087,163.52	₱ 50,276,257.88
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱111,855,129.68	₱ 85,557,792.27	₱ 26,297,337.41
Total Expenses (Includes Total Operating	₱ 87,492,209.60	₱ 71,359,308.29	₱ 16,132,901.31

Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations			
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱122,942,004.44	₱ 84,214,789.00	38,727,215.44
Appropriations-Continuing	27,999,988.07	1,831,700.00	26,168,288.07
Allotments – Current	122,942,004.44	84,214,789.00	38,727,215.44
Allotments –Continuing	27,999,988.07	0.00	27,999,988.07
Obligations – Current	84,128,819.64	82,750,392.00	1,378,427.64
Obligations -Continuing	7,678,956.90	₱ 0.00	7,678,956.90
	2015	**2014**	**Inc/(Dec.)**
Funds Received from Other Agencies			
NGAs	₱ 7,497,253.74	₱ 14,143,770.15	(6,646,516.41)
LGUs	₱ 1,551,607.53	7,500,000.00	(5,948,392.47)
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**₱ 9,048,861.27**	**₱ 21,643,770.15**	**(12,594,908.88)**
Funds Transferred to Other Agencies			
NGAs	₱ 262,067.56	0.00	₱ 262,067.56
LGUs	₱ 345.57	0.00	₱ 345.57
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**₱ 262,413.13**	**0.00**	**₱ 262,413.13**

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements due to the effects of (a) the reliability of the Property, Plant and Equipment accounts with a carrying value of ₱120,632,888.40 which could not be ascertained due to the non conduct by the General Services Office of physical count of PPE and to submit the corresponding report as of year end; (b) the balance of Local Disaster Risk Reduction and Management Fund (LDRRMF) in the total amount of ₱4,161,337.13 was not transferred from the General Fund to the Special Trust Fund.

4. Summary of Significant Observations and Recommendations:

1. **Cash advances granted to officers and employees account totaling to ₱415,969.00 remained unliquidated at year-end because management did not strictly monitor the submission of liquidation reports by concerned accountable officers and employees within the prescribed period.**

We recommended that management require the accountant to send demand letters to all persons concerned to immediately liquidate his/her cash advances, otherwise cause the withholding of salaries pursuant to paragraph 9.2 and 9.3 of COA Circular No. 97-002 and the institution of necessary sanction as provided under COA Circular 2012-004.

2. **Payment of several disbursement vouchers covering cash advances granted to the Municipal Treasurer during the period 2013 to 2015 in the total amount of ₱66,860,560.67 were not supported with any supporting documents to prove the validity of the transactions contrary to Section 4, of Presidential Decree 1445.**

   This practice denotes a very weak internal control in the processing and approval in the payment of transactions of the municipality which led to the non-implementation of various programs/projects intended to be undertaken during the year.

   We recommended that management stop the practice of paying cash advance without legitimate or valid purpose. The Municipal Accountant should not sign/certify the disbursement vouchers if not supported with complete documentation to ensure proper utilization of funds.

   It is stressed that subsequent occurrence of the same practice will subject the officials concerned with the institution of criminal/administrative case against the persons determined accountable thereof.

3. **Breeding Stocks consisting ten Upgraded Heifer and one Bull with a total cost of costing ₱222,000.00 are still recorded in the books though they are no longer existing because the Municipal Agriculturist did not file any request for relief of accountability on the subject loss thereof.**

   We recommended that management require the Municipal Agriculturist/ Veterinarian to gather and complete all required documents necessary for filing the request for relief from accountability for proper evaluation. This will be the basis in dropping the amount in the books of accounts in case the relief will be granted. If not, person determined accountable will be answerable for the settlement thereof.

4. **Payment of gasoline were paid even the Drivers Trip Tickets were not properly accomplished because the accounting office did not verify the supporting documents before signing the disbursements vouchers. Monthly Report of Official Travels and Report of Fuel Consumptions were not prepared and submitted to the Auditor for verification purposes.**

We recommended that management require the General Service Office to submit Monthly Report of Official Travels and Report of Fuel Consumptions as required under existing rules and regulations.

The accounting unit shall see to it that payment of fuel consumption shall be supported with duly accomplished Driver's Trip Ticket before signing the disbursement vouchers.

5. **The Net-Take-Home pay of 21 LGU personnel were below the required minimum amount of Four Thousand Pesos (₱4,000.00) because the accountant did not strictly monitor the deductions made from the salaries of employees.**

   We recommended that management instruct the accountant to take into consideration the order of preference in deducting authorized deductions in the payroll and adjust the deductions accordingly to meet the minimum net take home pay of P4,000.00 in compliance with the General Provision of General Appropriation Acts of 2015.

6. **Official Receipts, Disbursement Vouchers and Payrolls and their supporting documents were submitted beyond the reglamentary period due to delay in the recording of transactions by the accounting office caused by delay or incomplete submission thereof by the treasury office.**

   We recommended that the Local Chief Executive require the Municipal Accountant to submit the official receipts, paid disbursement vouchers and payrolls and their supporting documents to the Office of the Auditor within ten (10) days from receipt of said documents as required under paragraph 6.05 of COA Circular No. 95-006 dated May 18, 1995 to facilitate the review and audit of the accounts.

   Otherwise, we requested the management to suspend the salary of the Accountant/person responsible for failure to submit the required reports without justifiable reason, until complied with the requirements pursuant to Section 122 of Presidential Decree 1445.

5. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0%

Disallowances					
Prior Years	₱164,300.41	₱ 0.00	₱ 0.00	₱164,300.41	0%
Current Years	0.00	0.00	0.00	0.00	0%
Total	**₱164,300.41**	**₱ 0.00**	**₱ 0.00**	**₱164,300.41**	**0%**
Charges					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0%
Current Years	0.00	0.00	0.00	0.00	0%
Total	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	0%

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 28 unimplemented audit recommendations embodied in the 2014 Annual Audit Report, 19 were fully implemented; two were partially implemented while seven were not implemented.